

Deposit and Credit Guarantee Fund Act, 2017

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 22

Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be cited as the "Deposit and Credit Guarantee Fund Act, 2073".

(2) This Act shall commence immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Chairperson" means the Chairperson of the Committee.

(b) "Credit Guarantee" means the work relating to the guarantee of credit provided by any bank or financial institution or institution performing financial intermediation added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081. cooperative institution registered pursuant to the prevailing law relating to cooperatives, and that term also includes livestock insurance.

(c) "Fund" means the Deposit and Credit Guarantee Fund established pursuant to Section 3.

(d) "Acceptable Deposit" means all types of deposits of natural persons specified by this Act.

(e) "Third Party Deposit Account" means an account operated by a beneficiary third party, other than the person having the deposit account in a bank or financial institution, either by themselves or by their legal representative's signature.

(f) "Specified or as specified" means specified or as specified in the rules or regulations made under this Act.

(g) "Deposit" means the amount deposited in the current, savings, or fixed deposit account of a bank or financial institution added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081. cooperative institution registered pursuant to the prevailing law relating to cooperatives, and that term also includes other amounts accepted by a bank or financial institution added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081. cooperative institution registered pursuant to the prevailing law relating to cooperatives through various financial instruments specified by Nepal Rastra Bank from time to time.

(h) "Deposit Account" means a current, savings, or fixed deposit account maintained with a bank or financial institution licensed by Nepal Rastra Bank added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081. or cooperative institution registered pursuant to the prevailing law relating to cooperatives.

(i) "Deposit Amount" means the amount deposited in any currency in the deposit account of a natural person.

(j) "Bank or Financial Institution" means a commercial bank or financial institution licensed pursuant to the prevailing law relating to banks and financial institutions.

(k) "Ministry" means the Ministry of Finance, Government of Nepal.

- (l) "Valuation Date" means the date on which the annual guarantee fee payable for the guaranteed amount and the amount to be reimbursed are calculated as specified in this Act.
- (m) "Reimbursement" means the payment of the guaranteed deposit as specified by the Fund subject to this Act.
- (n) "Member" means a member of the Committee, and that term also includes the Chairperson.
- (o) "Member Institution" means a bank or financial institution or institution performing financial intermediation added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081. cooperative institution registered pursuant to the prevailing law relating to cooperatives that has obtained membership for providing credit guarantee as specified by the Fund.
- (p) "Committee" means the Board of Directors of the Fund constituted pursuant to Section 8.
- (q) "Guarantee Fee" means the fee payable to the Fund for guaranteeing a deposit or credit, and that term also includes a special contribution payable on deposits.
- (r) "Guaranteed Deposit" means the deposit of a natural person guaranteed by the Fund under this Act pursuant to Section 19.
- (s) "Guaranteed Member Institution" means a bank or financial institution added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081. cooperative institution registered pursuant to the prevailing law relating to cooperatives collecting deposits to which the Fund provides guarantee pursuant to this Act.
- (t) "Guaranteed Depositor" means a natural person who operates a joint account alone or jointly, or receives payment as a third party of a deposit account.
- (u) "Joint Deposit Account" means an account operated by the joint signatures of two or more persons in a bank or financial institution.
- (v) "Financial Liquidation" means the work relating to the winding up of a bank or financial institution carried out by Nepal Rastra Bank.

Chapter-2

Establishment, Capital, Functions, Duties, and Powers of the Fund

3. Establishment of the Fund: (1) A Fund named the Deposit and Credit Guarantee Fund is established to guarantee deposits held in Guaranteed Member Institutions and credits invested by Member Institutions.
- (2) The central office of the Fund shall be located in Kathmandu Valley, and the Fund may open its offices in various places as required.
4. Special Provision Regarding Guarantee: The guarantee of deposits of banks or financial institutions licensed by Nepal Rastra Bank to collect deposits shall be provided only by the Fund pursuant to this Act.
5. Fund to be an Autonomous and Corporate Body: (1) The Fund shall be an autonomous and corporate body with perpetual succession.
- (2) The Fund shall have a separate seal for its business operations.
- (3) The Fund may, like an individual, acquire, use, sell, lease, or rent out movable and immovable property.
- (4) The Fund may sue and be sued in its own name.
- (5) The Fund may, like an individual, enter into contracts and exercise the rights and fulfill the liabilities arising

thereunder. 6. Capital of the Fund: (1) The authorized capital of the Fund shall be ten billion rupees and the paid-up capital shall be five billion rupees.

(2) The Government of Nepal shall hold ninety percent and Nepal Rastra Bank shall hold ten percent of the paid-up capital of the Fund.

(3) The Committee may, with the approval of the Government of Nepal, increase the capital of the Fund as required.

(4) The paid-up capital of the Fund as per Sub-section (1) shall be paid according to the terms and procedures specified by the Government of Nepal. 7. Functions, Duties, and Powers of the Fund: In addition to the functions, duties, and powers mentioned elsewhere in this Act, the other functions, duties, and powers of the Fund shall be as follows:-

(a) To guarantee deposits of Guaranteed Member Institutions and Member Institutions and to provide reimbursement to depositors,

(b) To guarantee credits provided by Guaranteed Member Institutions and Member Institutions in sectors such as small and medium-level agriculture, industry, service businesses, etc.,

(c) To guarantee investments made by Guaranteed Member Institutions and Member Institutions in the sectors of microfinance and livestock,

(d) To guarantee export credits provided by Guaranteed Member Institutions, and

(e) To carry out other necessary functions to achieve the objectives of the Fund. Chapter-3

Provisions Relating to the Constitution, Functions, Duties, and Powers of the Board of Directors

8.

Constitution of the Committee: (1) For achieving the objectives of the Fund, a Board of Directors shall be constituted to operate, oversee, and manage all the functions and activities to be carried out by the Fund under this Act and the rules or regulations made under this Act. (2) The Committee shall consist of the following members:- (a) Secretary of the Ministry or an officer of a special class designated by the Government of Nepal - Chairperson (b) Joint Secretary, Ministry of Finance - Member (c) Joint Secretary, Ministry of Law, Justice and Parliamentary Affairs - Member (d) Executive Director, Nepal Rastra Bank - Member (e) A person designated or nominated by the Ministry from among persons who have worked in the banking and financial sector for at least ten years at the level of second-class officer - Member (f) A person designated or nominated by the Ministry from among persons who are Chartered Accountants and have at least ten years of accounting work experience - Member (g) Chief Executive Officer - Member Secretary (3) The term of office of the members under clauses (e) and (f) of Sub-section (2) shall be four years, and they may be re-nominated or re-designated for another term. (4) Notwithstanding anything contained in Sub-section (3), if the performance of a member nominated or designated under clause (e) or (f) of Sub-section (2) is not satisfactory, the Ministry may remove such person from office. Before such removal, a reasonable opportunity to submit a defense shall be given to such person. 9. Disqualification for Membership: The following person shall be considered disqualified for membership:- (a) A non-Nepali citizen, (b) Being a member of any political party, (c) Not having completed thirty years of age and having completed sixty-five years of age, (d) Being insane or of unsound mind, (e) Being insolvent or unable to pay debts, (f) Convicted by a court on a criminal charge involving moral turpitude, (g) Having any kind of financial interest with the Fund, (h) Being blacklisted pursuant to the prevailing law, (i) Being an employee of any Guaranteed Member

Institution or Member Institution. 10. Circumstances for Vacancy of Membership: The membership shall be deemed vacant in the following circumstances:- (a) Upon the death of the member, (b) Upon the resignation submitted by the member through the Fund being accepted, (c) If the member ceases to be in the service of the body or institution they represent, (d) If the member is absent from Committee meetings without notice for more than three consecutive times without a reasonable cause. 11.

Meeting of the Committee: (1) The meeting of the Committee shall be held on the date, place, and time specified by the Chairperson. (2) The meeting of the Committee shall be held at least once a month and as required. (3) If at least twenty-five percent of the members make a written request to call a meeting with an agenda for discussion, the Chairperson shall call a meeting of the Committee within seven days. (4) The meeting of the Committee shall be chaired by the Chairperson, and in their absence, a member chosen by the members from among themselves shall chair the meeting. (5) If more than fifty percent of the total number of members are present, the meeting of the Committee shall be deemed to have a quorum. (6) The decision of the majority at the meeting of the Committee shall be valid, and in case of a tie, the person chairing the meeting shall have a casting vote. (7) Representatives of Member Institutions may be invited to the meeting of the Committee as observers as required. Such invited representative shall not have the right to vote. (8) The Chief Executive Officer shall be responsible for maintaining or causing to maintain the minutes book of the Committee meeting as specified by the Committee. (9) Other procedures relating to the meeting of the Committee shall be as determined by the Committee itself. (10) The meeting allowance and other facilities for members shall be as specified by the Committee with the approval of the Ministry. 12.

Functions, Duties, and Powers of the Committee: (1) In addition to the functions, duties, and powers mentioned elsewhere in this Act, the other functions, duties, and powers of the Committee shall be as follows:- (a) To make policy decisions regarding guaranteed deposits and reimbursement of such deposits, (b) To make policy decisions regarding the administration, management, and investment of financial assets of the Fund, and to directly make or cause to make investments of the financial resources of the Fund, (c) To decide on granting or revoking membership of Guaranteed Member Institutions, (d) To decide on reimbursement procedures, (e) To decide on the initial contribution, special contribution, and annual guarantee fee to be taken from Guaranteed Member Institutions on guaranteed deposits, (f) To review the credit and livestock guarantee programs guaranteed by Guaranteed Member Institutions and Member Institutions and decide on guarantee fees, (g) To make necessary decisions regarding taking or giving reimbursement, (h) To decide on monitoring and action against Guaranteed Member Institutions, (i) To specify standards and bases for selecting agency banks under the compensation payment procedure, (j) To submit proposals relating to loans and grants to the Government of Nepal for approval to increase the paid-up capital of the Fund, (k) To periodically submit proposals relating to the limit amount of deposit guarantee, deposit guarantee coverage, and deposit guarantee to the Government of Nepal for approval, (l) To approve the internal and external audit reports of the Fund, (m) To determine the income and expenditure details, organizational structure, and salaries and allowances of employees of the Fund, (n) To approve medium and long-term strategic development plans, public awareness programs, reports and suggestions relating to the protection of depositors' rights and stakeholders, (o) To exchange information and cooperate and make agreements on the basis of reciprocity with domestic and foreign institutions having similar objectives, and to act accordingly, (p) To decide on the participation of the Fund in the process of transformation, acquisition, financial liquidation, liquidation, and dissolution of any Guaranteed Member Institution, (q) To decide on the participation of the Fund in contingency plans to be prepared for preventing and managing financial crises and systemic risks, and (r) To carry out other functions necessary for fulfilling the objectives of the Fund. 13. May Form Sub-Committee: (1) The Committee may form one or more

sub-committees consisting of members as required. (2) The functions, duties, powers, and facilities of the sub-committee formed pursuant to Sub-section (1) shall be as specified by the Committee. Chapter-4 Provisions Relating to Membership of Guaranteed Member Institution, Guaranteed Deposit, and Guarantee Fee 14.

Must Obtain Membership of Guaranteed Member Institution: A bank or financial institution licensed by Nepal Rastra Bank added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081. or a cooperative institution registered pursuant to the prevailing law relating to cooperatives must obtain membership as a Guaranteed Member Institution from the Fund under this Act. 15. **Procedure and Process for Obtaining Membership of Guaranteed Member Institution:** (1) A bank or financial institution licensed by Nepal Rastra Bank added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081. or a cooperative institution registered pursuant to the prevailing law relating to cooperatives shall submit an application to the Fund along with the fee as specified to obtain membership as a Guaranteed Member Institution. (2) Upon receipt of an application pursuant to Sub-section (1), the Fund shall make necessary inquiries and issue a certificate of membership of the Guaranteed Member Institution in the format as specified. (3) The certificate of membership pursuant to Sub-section (2) shall not be transferable or alterable in any way. (4) The procedure and other processes for a bank or financial institution licensed by Nepal Rastra Bank added by the Act to Amend Some Nepal Acts Relating to Cooperatives, 2081. or a cooperative institution registered pursuant to the prevailing law relating to cooperatives to obtain the certificate of membership of the Guaranteed Member Institution shall be as specified. 16. **Must Provide Information:** (1) If Nepal Rastra Bank grants a license to a bank or financial institution, it shall inform the Fund accordingly. (2) If a Guaranteed Member Institution obtains in-principle approval from Nepal Rastra Bank to change its name due to merger, amalgamation, or other reasons under the prevailing law, it shall inform the Fund accordingly. 17. **Membership of Guaranteed Member Institution Not to Continue:** (1) The membership of a Guaranteed Member Institution shall not continue in the following circumstances:- (a) If it becomes insolvent or is dissolved or undergoes financial liquidation, (b) If one Guaranteed Member Institution merges with another Guaranteed Member Institution. (2) Notwithstanding anything contained in clause (b) of Sub-section (1), if Guaranteed Member Institutions merge among themselves keeping the name of one Guaranteed Member Institution, the membership of such Guaranteed Member Institution shall continue. (3) In the event that membership does not continue pursuant to Sub-section (1), the Fund shall publish a notice of the same in a national daily newspaper and on its website. 18.

In Case of Merger or Amalgamation of Guaranteed Member Institutions: (1) If one or more Guaranteed Member Institutions merge or amalgamate with a Guaranteed Member Institution and the name needs to be changed, such institution shall submit an application to the Fund to register the new name. (2) Upon examination of the application received pursuant to Sub-section (1), if the contents are found reasonable, the Fund shall issue a certificate of membership of the Guaranteed Member Institution in the changed name pursuant to Sub-section (2) of Section 15. If Guaranteed Member Institutions merge or amalgamate keeping the name of one Guaranteed Member Institution, and an application is submitted to the Fund to record the name of the continuing Guaranteed Member Institution, the Fund shall accordingly record the name of such Guaranteed Member Institution and strike off the record of other merged or amalgamated Guaranteed Member Institutions. (3) The Guaranteed Member Institution resulting from a merger pursuant to Sub-section (1) shall pay the guarantee fee based on the deposits that may be guaranteed after the merger. (4) If a Guaranteed Member Institution merges with another Guaranteed Member Institution, the guarantee fee, fine, or any other amount payable by the merging Guaranteed Member Institution to the Fund shall be paid by the Guaranteed Member Institution resulting from the merger pursuant to Sub-section (1). (5) The deposits of

each Guaranteed Member Institution that is merged, amalgamated, dissolved, or integrated pursuant to the prevailing law relating to banks and financial institutions shall be kept separately guaranteed for three months from the date of written notification to the Fund. 19.

Guarantee of Deposit Amount: (1) The Fund shall guarantee deposits up to two hundred thousand rupees in each deposit account of each natural person opened in each Guaranteed Member Institution. (2) Notwithstanding anything contained in Sub-section (1), the Government of Nepal may, upon the recommendation of the Committee, make necessary changes to the limit of deposit guarantee by publishing a notice in the Nepal Gazette. (3) While valuing the guaranteed deposit amount, the principal amount and the interest accrued thereon in the deposit account shall be calculated. (4) The guaranteed deposit account may be in Nepali currency or any other foreign currency. (5) If any depositor operates more than one deposit account in a single Guaranteed Member Institution, or is a part of any joint deposit account, or has a third-party beneficiary deposit account, all accounts shall be aggregated and recognized as a single account. (6) Even if the membership of a Guaranteed Member Institution does not continue due to it undergoing financial liquidation or dissolution, the protected deposit shall be deemed guaranteed until the process of financial liquidation or dissolution is completed. (7) In the case of a Guaranteed Member Institution that voluntarily declares liquidation, the protected deposit shall remain guaranteed until the process of such liquidation is completed. 20. Not Deemed Guaranteed: Notwithstanding anything contained in Section 19, the following deposits shall not be deemed guaranteed:- (a) Deposit amounts in a deposit account in the name of a natural person considered an officer of the Guaranteed Member Institution pursuant to the prevailing company law, an auditor who has been auditing the accounts of the Guaranteed Member Institution for the past three years, a founder of the Guaranteed Member Institution, or a shareholder holding five percent or more share ownership in their own name or in the name of their family, Explanation: For the purpose of this clause, "family" means husband, wife, son, daughter, adopted son, adopted daughter, father, mother, and step-mother residing in a joint family, and that term also includes brothers, sisters whom one is obliged to maintain. (b) Amounts acquired by any person from criminal activities, (c) Deposits received on or after the day of the decision for financial liquidation or liquidation or cancellation of the license pursuant to the prevailing law. 21.

Provision Relating to Annual Guarantee Fee: (1) The annual guarantee fee payable by a Guaranteed Member Institution shall be as specified by the Fund. (2) The guarantee fee specified pursuant to Sub-section (1) shall be paid four times a year within the 10th day of the months of Shrawan, Kartik, Magh, and Baisakh. (3) Notwithstanding anything contained in Sub-section (2), the Fund may specify that the annual guarantee fee must be paid in advance as specified. (4) For the purpose referred to in Sub-section (1), the Fund shall specify an annual fee within the minimum limit of zero point one percent and the maximum limit of one percent of the guaranteed deposit for the deposit guarantee. (5) If the ratio of the Fund's financial means and resources capacity to the total guaranteed deposit is above five percent, the Fund may set the annual guarantee fee at zero point one percent. (6) Other provisions relating to the guarantee fee shall be as specified. 22. Provision Relating to Initial Contribution: (1) A bank or financial institution submitting an application pursuant to Sub-section (1) of Section 15 to obtain a certificate as a Guaranteed Member Institution of the Fund shall pay to the Fund, at the time of obtaining membership as a Guaranteed Member Institution, a lump sum amount of zero point five percent of its proposed paid-up capital as an initial contribution. (2) A Guaranteed Member Institution that has paid the initial contribution amount pursuant to Sub-section (1) shall not be required to pay the annual guarantee fee for the current fiscal year. (3) Notwithstanding anything contained in Sub-section (1), a bank or financial institution newly formed through a merger, amalgamation, or integration process pursuant to the prevailing law relating to banks and financial

institutions shall not be required to pay any amount as an initial contribution. 23. Provision Relating to Special Contribution: (1) If the financial condition of the Fund is adversely affected due to a crisis in the financial sector of the country, the Fund may, considering the financial condition of the Guaranteed Member Institutions, specify a special contribution amount for the Guaranteed Member Institutions. (2) It shall be the duty of the concerned Guaranteed Member Institution to pay the amount specified pursuant to Sub-section (1). (3) The procedure for paying the special contribution amount pursuant to Sub-section (1) shall be as specified. 24. Automatic Guarantee: After a Guaranteed Member Institution deposits the first guarantee fee to the Fund to guarantee the acceptable deposits that can be guaranteed in its institution, the deposit shall be automatically guaranteed in the Fund subject to Sub-section (1) of Section 19. 25.

Late Fee Applicable: (1) A Guaranteed Member Institution that fails to pay the guarantee fee to the Fund within the specified period shall be liable to pay a late fee as follows:- (a) If paid within thirty days of the expiry of the deadline, zero point five percent of the guarantee fee, (b) If paid within thirty days of the expiry of the period mentioned in clause (a), one percent of the guarantee fee, (c) If paid within fifteen days of the expiry of the period mentioned in clause (b), two percent of the guarantee fee. (2) If a Guaranteed Member Institution fails to pay the guarantee fee even within the period specified in clause (c) of Sub-section (1), the Fund shall write to Nepal Rastra Bank to prohibit such Institution from collecting deposits, and shall inform the Ministry of the same and also publish such information in national level newspapers. 26. Must Submit Information and Data to the Fund: (1) A Guaranteed Member Institution shall submit details including the type of deposit, number of depositors, and deposit amount to the Fund on a monthly basis, within fifteen days of the end of each month, in the format specified by the Fund. (2) A Guaranteed Member Institution shall maintain, as specified by the Fund, the accumulation or collection of data and information on deposits and depositors. 27. Must Maintain Electronic Register: (1) A Guaranteed Member Institution shall establish a database based on an electronic register and maintain records in such a way that data such as the identification of deposits and depositors, type of deposit, deposit to be guaranteed per depositor can be viewed immediately. (2) Provisions relating to the operation of the electronic register shall be as specified by the Fund. (3) To identify depositors and ascertain the guaranteed deposit amount per depositor, the Fund shall prepare and maintain a database based on a centralized and automated electronic system, using data obtained from Guaranteed Member Institutions in a manner that facilitates reimbursement to depositors. (4) Guaranteed Depositors and Guaranteed Member Institutions may obtain data and information contained in the database prepared based on the electronic system of the Fund. (5) Subject to the prevailing law, the Fund shall prepare and maintain a database based on its electronic system while maintaining the confidentiality of the personal data of Guaranteed Depositors. 28.

Must Provide Financial Statements: (1) A Guaranteed Member Institution shall regularly provide the Fund with the following financial statements submitted to Nepal Rastra Bank:- (a) Quarterly financial statements showing the overall financial condition of the Guaranteed Member Institution, (b) Audit report and annual report of the Guaranteed Member Institution. (2) If the Fund requires additional details beyond those mentioned in Sub-section (1) for the purpose of deposit guarantee, it may request from the concerned Guaranteed Member Institution. (3) It shall be the duty of the concerned Guaranteed Member Institution to provide the details requested pursuant to Sub-section (2) to the Fund. Chapter-5 Provisions Relating to Liability of the Fund, Claim Payment, and Reimbursement 29. Liability Relating to Deposit Guarantee: (1) The Fund shall have the liability to guarantee and provide reimbursement for the deposit amount of a Guaranteed Depositor up to the limit determined pursuant to Sub-sections (1) and (2) of Section 19. (2) Notwithstanding anything contained in Sub-section (1), the Fund shall not have any liability in respect of deposits not deemed guaranteed pursuant to Section 20. 30. To Provide Reimbursement: If a Guaranteed Member Institution

becomes problematic and is unable to immediately pay the amount of the Guaranteed Depositor due to being in the process of financial liquidation or liquidation or dissolution, and a written request is received from Nepal Rastra Bank, the Fund shall provide reimbursement of the guaranteed deposit to the concerned depositor.

31.

Claims Payment Procedure: (1) Upon receiving written notice from Nepal Rastra Bank that proceedings have been initiated under the prevailing law for financial liquidation, liquidation, or dissolution of a Guaranteed Member Institution, the Fund shall, within seven days of such notice, write to the concerned liquidator to provide details of the depositors' deposits in the Guaranteed Member Institution in the specified format. (2) Upon receiving such a letter pursuant to Sub-section (1), the concerned liquidator shall provide the details of the deposits and depositors in the Guaranteed Member Institution undergoing financial liquidation, liquidation, or dissolution proceedings to the Fund within ten days. (3) After receiving the details pursuant to Sub-section (2), the Fund shall make necessary inquiries into those details and select an agent from among the Guaranteed Member Institutions as specified within thirty days to pay the claim to the concerned depositor for the amount guaranteed in the Fund. (4) After the selection of an agent pursuant to Sub-section (3), a notice shall be published in a national daily newspaper inviting the concerned depositor to come and receive the claim payment through that institution upon producing prescribed evidence. (5) The Guaranteed Member Institution selected as an agent pursuant to Sub-section (4) shall pay the claim based on the evidence to the concerned depositor or their heir according to the prevailing law, based on the details mentioned in Sub-section (2). (6) When paying a claim pursuant to Sub-section (5), the Guaranteed Member Institution shall complete the reimbursement process within three months from the date of commencement of the work. Provided, however, that the Fund may, in exceptional circumstances, extend the reimbursement period up to a maximum of twice, each time not exceeding three months. Explanation: For the purpose of this Section, "exceptional circumstances" means circumstances where the reimbursement process is disrupted due to situations beyond the control of the concerned Guaranteed Member Institution. (7) The procedure for valuing the guaranteed amount of the depositor shall be as follows:- (a) While determining the guaranteed deposit of a Guaranteed Depositor in a Guaranteed Member Institution, it shall be done on an aggregate basis on the valuation date. Explanation: For the purpose of this clause, "aggregate" means the aggregate calculation of all guaranteed amounts in the Guaranteed Member Institution. (b) The share of each depositor in the deposit amount of a joint account in a Guaranteed Member Institution shall be calculated based on the amount specified at the time of opening the account.

In making this calculation, unless otherwise stated in the standards and conditions or the deed of gift or contract, each depositor in a joint account shall be deemed to have an equal share.

(c) In a case where the guaranteed deposit amount of a Guaranteed Depositor in a Guaranteed Member Institution is intended for a third-party beneficiary, such guaranteed deposit amount shall be paid to the third party in accordance with the prevailing law.

(d) In a case where two or more beneficiaries are specified, the beneficiary shall be determined as specified.

(8) The counting of days for the purpose of paying a claim shall commence from the date the Fund receives notice pursuant to Sub-section (1) from Nepal Rastra Bank.

(9) The Fund shall pay the claim amount for deposit guarantee through the agent selected pursuant to Sub-section (3) as follows:-

(a) By transferring an amount equal to the guaranteed deposit amount of the Guaranteed Depositor to

another Guaranteed Member Institution while preserving the right of the Guaranteed Depositor,

(b) By making payment directly to the depositor in Nepali currency through the financial liquidator,

(c) By making payment by issuing a cheque,

(d) By designating an agent bank and making payment through it,

(e) By making payment through other procedures determined by the Committee.

(10) If it is proven that false or fraudulent details were submitted while requesting payment, the Fund may reject the reimbursement process or demand the refund of the amount already paid.

(11) Other provisions relating to claim payment shall be as specified. 32. Claim Payment of Missing Depositors: (1) If the concerned depositor or their heir according to the prevailing law does not come to receive the claim payment pursuant to Section 31, the Fund shall open a separate account in its name with Nepal Rastra Bank and deposit the deposit amount of such depositor for later payment.

(2) The procedure for claim payment and reimbursement of the deposit amount kept in the Fund pursuant to Sub-section (1) shall be as specified. 33.

Procedure for the Fund to Receive Reimbursement: (1) The Fund shall, within seven days from the date on which the amount receivable by the Fund as reimbursement from the Guaranteed Member Institution that has undergone financial liquidation, liquidation, or dissolution is ascertained, write to the concerned liquidator to provide reimbursement. (2) Upon receiving such a letter pursuant to Sub-section (1), the concerned liquidator shall, notwithstanding anything contained in the prevailing law, pay to the Fund the amount paid by the Fund to the depositors, up to the maximum limit guaranteed in the Fund out of the amount payable by the Guaranteed Member Institution to its depositors, to the Fund instead of the concerned depositors. (3) While providing reimbursement to the Fund pursuant to Sub-section (2), the concerned liquidator shall pay the liability subject to Sub-section (2) of Section 35. (4) All expenses incurred in relation to the reimbursement process shall be given priority equivalent to the expenses of Nepal Rastra Bank or the liquidator. (5) The Fund shall claim from the liquidator for the difference between the liability transferred and the assets, giving it recognition and priority equivalent to the deposit under guarantee. (6) If the actions proposed in the report submitted by the financial liquidator to Nepal Rastra Bank regarding asset recovery appear contrary to the interest of the Fund, the Fund may file a complaint against the financial liquidator with Nepal Rastra Bank. 34. May Appoint Agent or Attorney: The Fund may appoint an agent or attorney for the purpose of claim payment reimbursement with the concerned liquidator. 35. Subrogation Rights of the Fund: (1) After the Fund pays the claim of the Guaranteed Depositor pursuant to the provisions of this Act, the Fund shall have the right of subrogation to the extent of the payment made by the Fund. (2) In the process of financial liquidation or liquidation, the claim of the Fund shall be given recognition and priority equivalent to guaranteed deposits under the prevailing law. (3) The subrogation right of the Fund under Sub-section (1) shall not prejudice the right of the depositor to seek remedy under the prevailing law if there is a remaining deposit amount exceeding the amount paid by the Fund, against the Guaranteed Member Institution. 36. Fund Not to Pay: Notwithstanding anything contained elsewhere in this Chapter, if a Guaranteed Member Institution that fails to pay the guarantee fee and late fee within the specified period undergoes financial liquidation, liquidation, or dissolution within that same period, the Fund shall not pay the claim for deposits in such Guaranteed Member Institution. 37.

Provision Relating to Credit Guarantee: The credit guarantee fee, liability for claim payment related thereto,

and payment procedure shall be as specified. Chapter-6 Provisions Relating to Accounts and Audit of the Fund, Management and Investment of Financial Assets 38. Guarantee Fund: (1) For the purpose of deposit and credit guarantee work, the Fund shall have separate funds as follows:- (a) Deposit Guarantee Fund, and (b) Credit Guarantee Fund. (2) The Deposit Guarantee Fund pursuant to clause (a) of Sub-section (1) shall consist of the following amounts:- (a) The amount specified by the Committee out of the paid-up capital of the Fund, (b) The amount of initial contribution and special contribution paid by the Guaranteed Member Institution, (c) The annual guarantee fee paid by the Guaranteed Member Institution, (d) The amount of late fee and fine paid by the Guaranteed Member Institution, (e) Loans, grants, donations, and assistance amounts provided by foreign governments, bodies, or persons, (f) Income derived from investment of the financial assets of the Deposit Guarantee Fund, (g) Amounts received as reimbursement, and (h) Amounts received from the Government of Nepal. (3) The Credit Guarantee Fund pursuant to clause (b) of Sub-section (1) shall consist of the following amounts:- (a) The amount specified by the Committee out of the paid-up capital of the Fund, (b) Fees paid by Member Institutions participating in the credit guarantee program, (c) Fees paid by borrowers for the credit guarantee, (d) Grant amounts provided by the Government of Nepal as credit guarantee fees, (e) Income derived from investment of the financial assets of the Credit Guarantee Fund, (f) Loans, grants, donations, and assistance amounts provided by foreign governments, bodies, or persons, and (g) Amounts received from the Government of Nepal. (4) Before receiving amounts under clause (e) of Sub-section (2) and clause (f) of Sub-section (3), the Fund shall obtain approval from the Government of Nepal. (5) The Fund shall open separate accounts with Nepal Rastra Bank to keep amounts received under Sub-sections (2) and (3). 39.

Deposit Guarantee Risk Fund: (1) There shall be a separate Deposit Guarantee Risk Fund under the Fund to cover the liability relating to deposit guarantee. (2) The amount remaining after deducting administrative expenses from the amount received as annual guarantee fees deposited in the Deposit Guarantee Fund shall be deposited in the Fund pursuant to Sub-section (1). (3) For the purpose of Sub-section (2), administrative expenses relating to deposit guarantee shall not exceed twenty percent of the total annual deposit guarantee fee. (4) The amount in the Deposit Guarantee Risk Fund pursuant to Sub-section (1) shall not be spent for any other purpose of the Fund except for paying claims or reimbursements for guaranteed deposits. (5) If the amount in the Deposit Guarantee Risk Fund pursuant to Sub-section (1) is insufficient to pay deposit claims, it shall be borne by the Deposit Guarantee Fund pursuant to clause (a) of Sub-section (1) of Section 38. (6) If the amount payable for the reimbursement of guaranteed deposits exceeds the financial resources available in the Deposit Guarantee Fund pursuant to clause (a) of Sub-section (1) of Section 38, the Fund may borrow from the Government of Nepal or other organizations and institutions under the prevailing law. (7) The interest on a loan taken from the Government of Nepal shall not exceed the rate of the ninety-day Treasury Bill issued by the Government of Nepal. 40. Must Provide Guarantee to Obtain Loan: If the Fund requires a guarantee from the Government of Nepal to obtain a loan from other institutions or organizations in the situation mentioned in Sub-section (6) of Section 39, the Government of Nepal shall provide such a guarantee. 41. Accounts of the Fund: (1) The Fund shall maintain accounts, registers, financial reports, and other details for the Deposit Guarantee Fund, Credit Guarantee Fund, and Deposit Guarantee Risk Fund separately, in accordance with the accounting system as per the Nepal Accounting Standards, clearly showing the transactions and financial position. (2) Notwithstanding anything contained in Sub-section (1), international accounting standards shall be taken as a basis for areas not covered by (3) In the event that any secured member institution fails to maintain the capital adequacy ratio prescribed by Nepal Rastra Bank, the Fund may impose an additional penalty of zero point two percent on the annual security fee prescribed by the Fund. (4) When imposing an additional penalty pursuant to Sub-section (3), it shall be done based on the

financial statements to be submitted by the secured member institution pursuant to Section 26 and the certified capital fund statement of the related secured member institution by Nepal Rastra Bank. 47.

To send a written communication for information: (1) The Fund shall, in relation to a secured member institution that does any of the following acts, send a written communication to Nepal Rastra Bank for information, enclosing relevant details and necessary documents: (a) Fails to submit an application pursuant to Section 18, (b) Fails to pay the annual security fee pursuant to Section 21, (c) Fails to pay a special contribution pursuant to Section 23, (d) Fails to pay a late fee pursuant to Section 25, (e) Fails to provide information and details pursuant to Section 26, (f) Fails to submit financial statements pursuant to Section 28, (g) Fails to pay any other penalty or annual security fee imposed under this Act, or (h) Submits false or untruthful data or information to the Fund regarding deposits, depositors, and annual security fees. (2) The Fund shall also inform Nepal Rastra Bank if a bank or financial institution licensed by Nepal Rastra Bank fails to apply for membership of a secured member institution pursuant to Section 15. (3) Upon receiving the information pursuant to Sub-section (1), Nepal Rastra Bank shall take necessary action against the concerned secured member in accordance with the prevailing law. 48. Right to appeal: Any party aggrieved by a decision of the Fund to impose a penalty pursuant to Section 46 or any other decision or order of the Fund under this Act may appeal to the High Court within thirty-five days from the date of receipt of notice of such decision or order. Chapter-8 Provisions Relating to Chief Executive Officer and Employees 49.

Chief Executive Officer: (1) The Government of Nepal shall appoint one Chief Executive Officer to act as the administrative head of the Fund. (2) The Government of Nepal shall form a selection committee as follows to recommend the appointment of the Chief Executive Officer: (a) An officer of the gazetted special class of the civil service or equivalent designated by the Government of Nepal ? Coordinator (b) Joint Secretary, Ministry of Finance ? Member (c) Executive Director, Nepal Rastra Bank ? Member (3) The selection committee formed pursuant to Sub-section (2) shall, based on prescribed criteria, select three candidates through open competition from among persons who have obtained at least a postgraduate degree in Economics, Commerce, Management, Commercial Law, Accounting, Banking, or Insurance, or who have obtained a Chartered Accountant degree, and have work experience of more than at least five years at a post of at least gazetted second class or equivalent in the economic, banking, insurance, or financial sector, and recommend them for appointment. (4) The Government of Nepal shall, from among the persons recommended pursuant to Sub-section (3), evaluate qualifications, experience, and leadership ability, and appoint a suitable person to the post of Chief Executive Officer of the Fund. (5) Until the Chief Executive Officer is appointed pursuant to Sub-section (4), for a maximum period of six months, the Government of Nepal may designate or depute any officer working in the Government of Nepal, Nepal Rastra Bank, or the Fund, of at least gazetted second class or equivalent rank, to perform the duties of the Chief Executive Officer. (6) The term of office of the Chief Executive Officer shall be four years. (7) Notwithstanding anything contained in Sub-section (6), the Government of Nepal may remove the Chief Executive Officer from office in the following circumstances: (a) If there is a lack of competence in him/her to perform or cause to be performed the functions required to be performed under this Act, (b) If he/she is found to have conducted the affairs of the Fund dishonestly or with mala fide intent, (c) If he/she fails to maintain conduct commensurate with his/her position, (d) If he/she fails to perform in accordance with the performance agreement made pursuant to Section 50, and (e) If the achievement of his/her performance is not satisfactory. (8) Before removing the Chief Executive Officer pursuant to Sub-section (7), the Ministry shall form an investigation committee as prescribed, under the chairpersonship of any member of the committee. (9) The investigation committee formed pursuant to Sub-section (8) shall submit a report to the Ministry within one month. (10) After the investigation committee pursuant to Sub-section (8) is formed, the Chief Executive Officer shall not be entitled to discharge his/her

official duties. (11) Before removing the Chief Executive Officer from his/her post, he/she shall be given a reasonable opportunity to present his/her defense. (12) The service, terms, remuneration, and other facilities of the Chief Executive Officer shall be as prescribed.

51. Duties, functions, and powers of Chief Executive Officer: In addition to the duties, functions, and powers mentioned elsewhere in this Act, the other duties, functions, and powers of the Chief Executive Officer shall be as follows:

- (a) To implement or cause to be implemented the decisions of the Committee,
 - (b) To formulate a strategic development plan for the Fund and submit it to the Committee for approval,
 - (c) To prepare the annual income and expenditure statement and annual report and submit them to the Committee for approval,
 - (d) To implement or cause to be implemented the long-term strategic development plan and annual program approved by the Committee,
 - (e) To periodically submit progress reports of the work done by the Fund to the Committee,
 - (f) To conduct and manage the daily financial and administrative operations of the Fund and to oversee, control, direct, monitor, and supervise subordinate employees,
 - (g) To set annual targets for various departments, branches, and offices of the Fund and cause them to perform accordingly,
 - (h) To prepare long-term and short-term plans and programs and submit them to the Committee,
 - (i) To implement or cause to be implemented the approved plans and programs according to targets,
 - (j) To conduct quarterly reviews of work progress and submit related reports and the Fund's quarterly financial report to the Committee,
 - (k) To purchase or lease houses, land, machinery, or other equipment within the approved budget and arrange for their maintenance,
 - (l) To enter into contracts with any person, firm, or company for the financial transactions of the Fund,
 - (m) To borrow loans as determined by the Committee according to the needs of the Fund, and such borrowing shall be done in accordance with the prevailing company law,
 - (n) To carry out the selection of agent banks in the payment process based on terms and conditions determined by the Committee,
 - (o) To perform other functions as prescribed relating to the operation of the Fund.
52. Provisions relating to employees: (1) The Fund shall have the necessary number of employees to carry out its functions effectively.

(2) The appointment, remuneration, and other provisions relating to service conditions of the employees of the Fund shall be as prescribed.

(3) The Fund may, as necessary, hire expert services on a contract basis for a specified period.

(4) The service conditions, remuneration, and other arrangements for experts hired on contract pursuant to Sub-section (3) shall be as mentioned in the contract.

(5) Employees may be hired on a service contract basis, remaining within the approved establishment, on the basis and conditions determined by the Committee.

Miscellaneous

53.

The Fund and Nepal Rastra Bank to act in coordination: Both the Fund and Nepal Rastra Bank shall perform

the following acts to achieve public policy objectives and ensure public confidence in the financial sector by cooperating and coordinating with each other: (a) Make necessary agreements for the exchange of data and information, (b) Cooperate in the process of granting licenses to banks and financial institutions and issuing deposit guarantee certificates, (c) Provide information to the Fund when Nepal Rastra Bank subjects any bank or financial institution to prompt corrective action or declares it problematic, (d) Provide notice to the Fund when Nepal Rastra Bank initiates conservatorship, potential acquirer, or financial liquidation system proceedings against any bank or financial institution, (e) Inform each other as soon as possible if a situation posing a potential threat to financial stability is observed, (f) Inform the Fund if Nepal Rastra Bank prohibits any bank or financial institution from collecting deposits, cancels its license, or takes over management control. 54. Delegation of authority: (1) The Committee may delegate some of its powers to the Chairperson, a Member, a sub-committee formed pursuant to Section 13, or the Chief Executive Officer. (2) The Chief Executive Officer may delegate some of the powers conferred upon him/her to the officer-level employees of the Fund. 55. Provision regarding exchange of assistance: The Ministry and the Fund shall, by making agreement regarding liquidity management with each other, exchange assistance for necessary information, data, and expert services in relation to deposit guarantee. 56. Power to give directives: (1) The Government of Nepal may give necessary directives to the Fund regarding deposit and credit guarantee. (2) It shall be the duty of the Fund to comply with the directives given pursuant to Sub-section (1). 57. Confidentiality to be maintained: (1) Without prior approval of the Fund, the Chairperson, Member, Chief Executive Officer, or any employee or person under contract shall not perform the following acts: (a) Leaking or publishing data and information related to their work, and (b) Using or causing to be used such data and information for personal benefit. (2) Notwithstanding anything contained in Sub-section (1), providing details requested by an authority authorized for investigation purposes under prevailing law shall not be deemed a breach of confidentiality. 58. Acts not to be invalidated: No act or proceeding of the Fund or the Committee shall be invalidated merely by reason of any irregularity in the appointment of the Chairperson, Member, or Chief Executive Officer, or formation of the Committee, or any vacancy in the office of the Chairperson or Member. 59.

Protection of acts done in good faith: (1) The Chairperson, Member, Chief Executive Officer, or any employee of the Fund shall not be held personally or collectively liable for any act done in good faith pursuant to this Act or the rules or regulations made under this Act. Provided, however, that such person shall be personally responsible for any act done knowingly or with wrongful intent. (2) If any lawsuit is filed against the Chairperson, Member, Chief Executive Officer, or any employee of the Fund regarding any loss or damage caused or likely to be caused by anything done or attempted to be done in good faith for complying with this Act or the rules or regulations made under this Act, the Fund shall bear the cost of such lawsuit. Provided, however, that the Fund shall not bear the cost of a lawsuit filed in relation to any act done knowingly or with wrongful intent. 60. Report to be submitted: The Fund shall submit its annual report to the Ministry within six months of the end of each fiscal year, and a copy thereof shall also be given to Nepal Rastra Bank. 61. Contact with Government of Nepal: The Fund shall maintain contact with the Government of Nepal through the Ministry. 62. Automatic conversion into Fund: The Deposit and Credit Guarantee Corporation (Pvt.) Ltd. established under the Companies Act, 2063 shall be deemed to have automatically converted into the Fund upon the commencement of this Act. 63. Power to wind up the Fund: (1) If the Fund is unable to pay claims for deposits or credits guaranteed under this Act, the Government of Nepal may wind up the Fund. (2) If the Fund is wound up pursuant to Sub-section (1), the Government of Nepal shall be responsible for the assets and liabilities of the Fund. 64. To be governed by this Act: Notwithstanding anything contained in the prevailing Nepali law, matters mentioned in this Act shall be governed by this Act. 65. Power to make rules: (1) The Government of Nepal may make rules on the following matters necessary for the implementation of

this Act: (a) Service, terms, remuneration, and other facilities of the Chief Executive Officer, (b) Regarding deposit guarantee, (c) Regarding credit guarantee, (d) Regarding special contribution, and (e) Regarding guarantee of other sectors designated by the Government of Nepal. 66.

Power to make regulations: (1) To regulate its working procedures, the Fund may make and enforce necessary regulations that are not inconsistent with this Act and the rules made under this Act. (2) Without prejudice to the generality of the power conferred by Sub-section (1), the Fund may make regulations on the following matters: (a) Regarding compensation procedure, claim payment, and reimbursement procedure, (b) Regarding investment policy, (c) Regarding the annual security fee to be paid by secured member institutions, (d) Regarding membership certificate and verification of authenticity methods and procedures, (e) Regarding service conditions of employees of the Fund, (f) Regarding finance, administration, and audit of the Fund, (g) Regarding procurement procedures for services and goods, (h) Regarding agent banks and financial liquidators, (i) Regarding employee regulations, manpower employment matters, and terms of employment contracts, (j) Regarding meeting procedures of the Committee, (k) Regarding organizational structure and performance of the Fund, (l) Regarding delegation of authority for efficiency and responsibility, and (m) Regarding other matters necessary for the functioning of the Fund. (3) While making regulations on matters that may have financial liability or long-term impact on the Fund, approval of the Ministry shall be obtained. 67. Power to issue directives and procedures: The Fund may, for the implementation of this Act and to make its working procedures transparent, simple, and clear, subject to this Act or the rules or regulations made under this Act, issue and enforce necessary directives and procedures from time to time. 68. Saving: (1) All acts done by the Deposit and Credit Guarantee Corporation (Pvt.) Ltd. established under the Companies Act, 2063 prior to the commencement of this Act shall be deemed to have been done under this Act. (2) The movable and immovable property including assets, liabilities, and employees working in the Deposit and Credit Guarantee Corporation (Pvt.) Ltd. as referred to in Sub-section (1) shall be deemed to have been automatically transferred to the Fund. (3) The Managing Director working in the Deposit and Credit Guarantee Corporation (Pvt.) Ltd. as referred to in Sub-section (1) at the time of the commencement of this Act shall continue to hold office as the Chief Executive Officer of the Fund for the remainder of his/her term.